- Similarly, a real estate speculator whose product is *real estate* adopts the procedure of *speculation.*
- A collector of rare coins *buys and holds long* the product of *rare coins.*
- A commodities future trader adopts the procedure of the *futures market* to trade in *commodities.*
- A stock option trader adopts the procedure of *hedging* in the product of *stocks.*
- A day trader uses the product *stocks* and the procedure of *speculation.*
- A saver is one who wants to hold over a long term by putting his money in the bank.

Thus, there are different types of people doing different things with the same investment products. Under the banner of investing are people who are really gamblers, speculators, traders, hedgers, savers, dreamers and losers.

Investing is a Plan

It is not a product or a procedure. It is a very personal plan. An individual has to decide what his goals are and how he can go from one level of comfort to another. He would have certain resources coming to him and certain commitments to be fulfilled. A person is able to earn when he is young. These earnings need to be invested wisely so that in old age, when a person's capacity to earn diminishes, he can fall back on his investments. Therefore, he needs to have a clear picture of his financials before making an investment plan.

Example: Take the case of a working couple, aged 30, with two school-going children—a son and a daughter. At present they live a very comfortable life. But they need to plan for the future and invest their earnings wisely to take care of future expenses. The children will want to go in for higher studies within the next 7–10 years. They will need to be married. The family might need a bigger house or there could be some major illness in the family.